

essential” extra points. His ability to cut to the core of a question, to reach a well-founded conclusion, and to hold that conclusion even if things initially go against him are all key elements in who he is and what he’s accomplished. In short, he’s fiercely analytical.

He’s also incredibly quick. It doesn’t take him weeks or months to reach a conclusion. He also doesn’t need a cadre of analysts pushing numbers. He doesn’t feel the need to know and consider every data point: just the ones that matter. And he has a great sense for which they are.

- **He’s guided by an overarching philosophy.** Many investors think they’re smart enough to master anything, or at least they act that way. Further, they believe the world is constantly changing, and you have to be eclectic and change your approach to adapt, racing to stay up with the latest wonder. The trouble with this is that no one really can know everything, it’s hard to constantly retool and learn new tricks, and this mindset prevents the development of specialized expertise and helpful shortcuts.

Warren, on the other hand, knows what he doesn’t know, sticks to what he does know, and leaves the rest for others. This is essential, since as Mark Twain said, “It ain’t what you don’t know that gets you into trouble. It’s what you know for sure that just ain’t so.”

Warren only invests in industries he understands and feels comfortable with. He emphasizes fairly prosaic fields and avoids, for example, high tech companies. He famously passes on things that are outside his philosophy and ken. Importantly, he can live with the possibility that the things he passes on will make money for others and he’ll be left looking on as they do. (Most people can’t.)

- **He’s mentally flexible.** The fact that it’s important to have a guiding philosophy doesn’t mean it’s never good to change. It can be desirable to adapt to significantly changed circumstances. It’s even possible to come across a better philosophy. The key lies in knowing when to change and when to hold fast.

Early in his career, Warren adopted the approach of his great teacher, Ben Graham. It’s called “deep value”— buying castoffs when they’re being given away, especially when companies can be bought